



Managing Your Supply Chain

A supply chain is the network of people, processes, and activities required to deliver the products or services you sell. Creating an efficient supply chain will save you time and money and increase profitability.

Understanding supply chains

A supply chain is like a series of steps that you have to take in order to deliver a product or service to your customer or client. Every business has a supply chain, although some are longer and more complex than others. For example, an ice-cream shop may only require ice-cream, spoons, and cartons to do business. In contrast, a baker will need to source ingredients and

packaging from various suppliers, make the products, package them, then either sell them directly or deliver them to the customer. If any link in your supply chain fails, you will lose time, potentially incur extra costs, and disappoint your customer or client. Similarly, if your supply chain is poorly organized or includes unnecessary steps, you will waste time and money (see pp.178–179).

Managing a supply chain

The strength and efficiency of your supply chain plays a key role in how reliably your business can deliver its products and services. To save time and money, aim to create a chain that is robust and efficient.

It should also be flexible enough so that if a single link breaks, it can be quickly repaired and not disrupt the other links in the chain. Start by reviewing your chain and look for ways to strengthen each link.

Understand your supply chain

Know what each link in the chain is and how it connects to the next. Research all of your suppliers and ensure they meet your ethical standards, and can abide by your code of conduct (see pp.102–103).

Identify potential weaknesses

Examine each link and look for possible weaknesses. Consider what the impact of those weaknesses would be for your business.

Create contingency plans

Plan ways of avoiding problems should they occur. Create contingency plans and make sure you can put them in place quickly if the need arises.